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Recycling with the Best

Weekly Ship Recycling Report

17 February 2024 - 23 February 2024

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Highlights of the week

Over the past week, the ship recycling markets across various destinations have exhibited diverse trends. In India, the market has seen a slight uptick, marked by a modest increase in demand for vessels, signaling a positive shift in market conditions. Conversely, Bangladesh's market has maintained stability, with no significant changes from the previous week. The demand in Bangladesh is specifically keen on tanker and container vessels, pending financial confirmations for Letter of Credit openings, highlighting a cautious yet targeted approach to acquisitions. Pakistan's ship recycling sector has been notably subdued, a quietness stemming from the anticipation and eventual establishment of a coalition government. Market participants are now keenly observing how the new government's configuration might influence market dynamics, amid a broader slowdown in demand for end products from ship recycling due to decreased activity in critical sectors such as steel and construction. Turkiye, meanwhile, has faced a downturn, with both import and domestic market prices experiencing minor declines.

The global financial landscape experienced a significant escalation in debt levels, culminating in an unparalleled peak of $313 trillion, as documented by the Institute of International Finance (IIF). The IIF's findings indicate that approximately 55 percent of this remarkable increase in global debt can be attributed to advanced economies, notably the United States, France, and Germany, which stand out as the leading contributors.

Exchange Rates:

USD / INR ₹

This Week	82.84
Previous Week	83.00
Gained	0.16

USD / BDT ৳

This Week	109.60
Previous Week	109.59
Lost	0.01

USD / PKR Rs

This Week	279.37
Previous Week	279.25
Lost	0.12

USD / TRY ₺

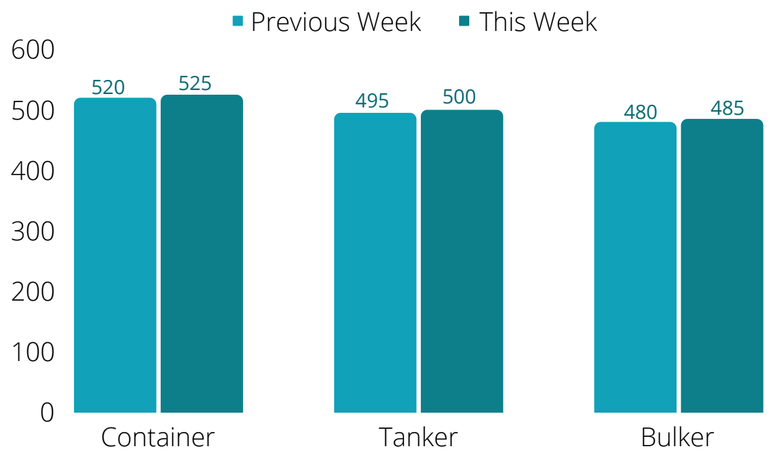
This Week	31.01
Previous Week	30.82
Lost	0.19

India

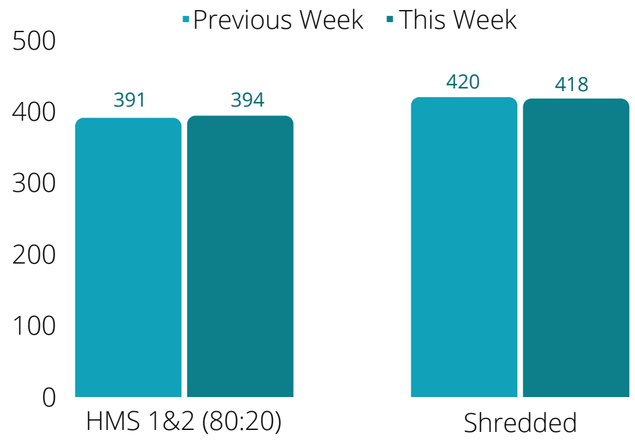
Market uptick observed this week with increased demand for vessels highlighting a positive shift.

- This week has shown a slight improvement in the market, with some demand for vessels.
- India is solidifying its position as a key market for iron ore exports, amidst stabilizing demand from China. BHP, an Australian mining leader, identifies India as a "continued bright spot", noting a 12% increase in steel production to 140 million tonnes in 2023.
- The finance ministry forecasts a 7% growth in India's economy for the upcoming fiscal year, while investment bank Jefferies projects the market to approach a $10 trillion valuation by 2030, underscoring the country's expanding economic trajectory.

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Beaching Dates

23 February to 27 February 2024

08 March to 15 March 2024

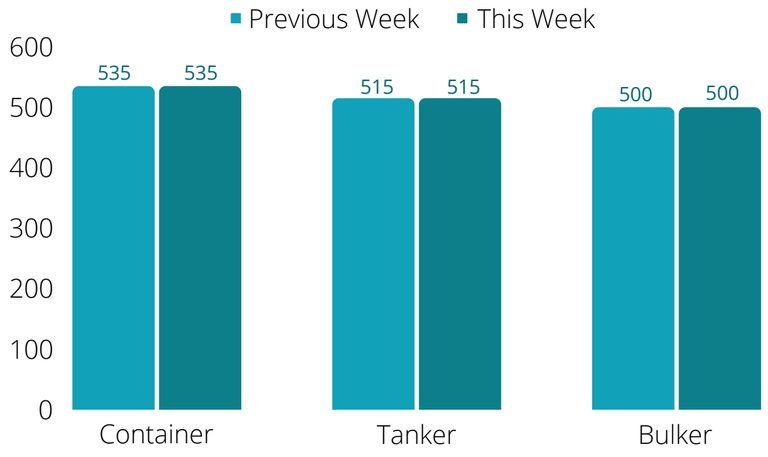
26 March to 30 March 2024

Bangladesh

Market remained unchanged with growing interest in tanker and container vessels.

- The market dynamics remain consistent with the previous week, showing no significant changes in overall activity.
- There is a noted interest in acquiring tanker and container vessels, contingent on the availability of bank confirmation for opening LC.
- The IMF highlights a critical issue in Bangladesh's debt management, with debt servicing costs, encompassing domestic and foreign interest payments, consuming 71.8% of total revenue and grants. This ratio is expected to rise to 101% in the current fiscal year, marking a substantial escalation in the government's debt load compared to its revenue.

Price for Recycling Ships in Bangladesh



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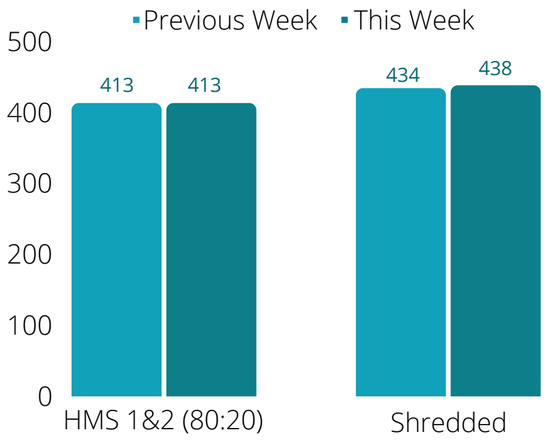


Beaching Dates

26 February to 29 February 2024
11 March to14 March 2024
25 March to 28 March 2024

Pakistan

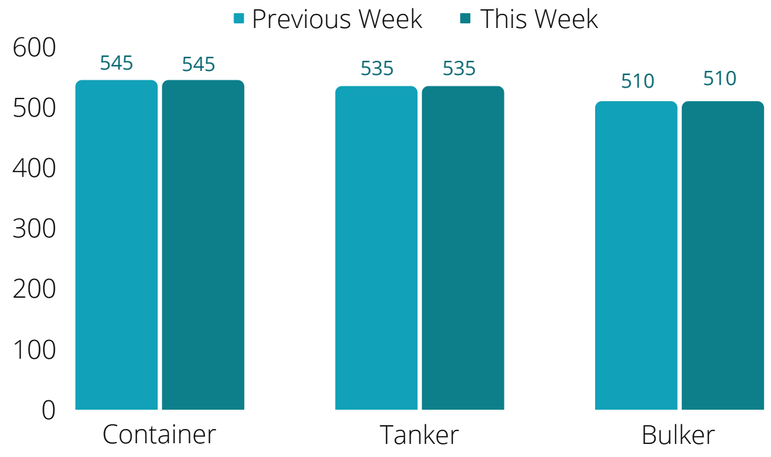
Ship Recycling Market Downturn: Political Uncertainty and Economic Challenges.

- The market has experienced a period of quietness, attributed to the anticipation surrounding the formation of the government, which has now been established as a coalition government.
- Market participants are closely monitoring the finalization of a coalition government, and the market's response will depend on the government's final setup.
- Demand for end products derived from ship recycling is experiencing a significant slowdown, attributed to reduced business activity within key sectors such as steel and construction.
- A recent report from an Islamabad-based analysts provides a bleak assessment of Pakistan's economy, describing its debt crisis as critically severe—far beyond the International Monetary Fund's more moderate classification of nearing manageability.

Beaching Dates

Throughout the month

Price for Recycling Ships in Pakistan



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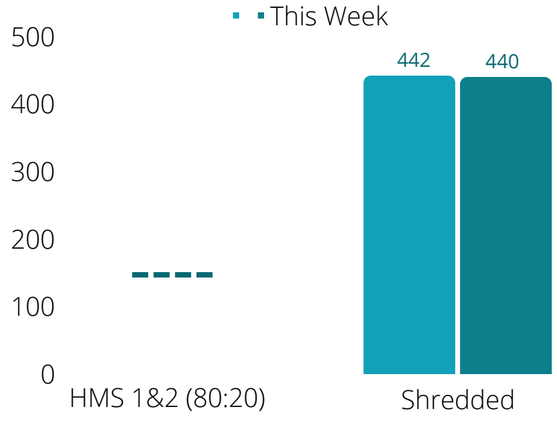


Türkiye

Turkish Ship Recycling and Steel Export Markets Face Decline Amid Lira Depreciation.

- In the Turkish ship recycling market, there has been a noticeable decline in both import and domestic market prices by a few USD. However, vessel values have remained relatively unaffected for the current period.

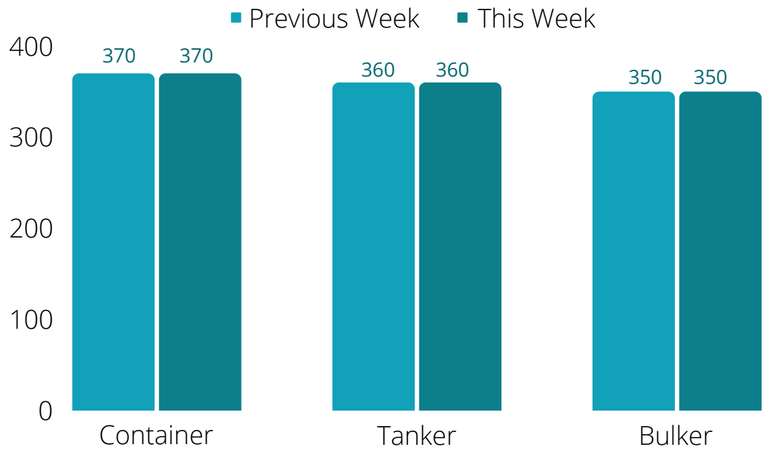
- The Turkish lira reached a record low against the US dollar, with the exchange rate updating its historical minimum to 31 lira per US dollar.

- Turkey's steel export sector has experienced a decline, for the consecutive second year,. The Turkish Steel Producers Association (TCUD) reports that in 2023, the nation's steel exports witnessed a substantial year-on-year reduction of 30.6%, amounting to 10.5 million tons.

Beaching Dates

Throughout the month

Price for Recycling Ships in Türkiye



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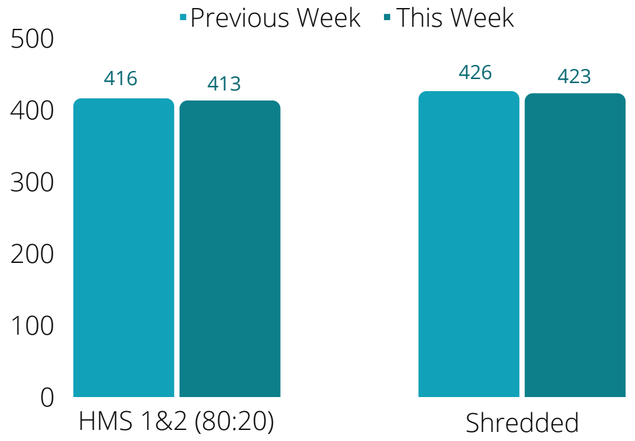
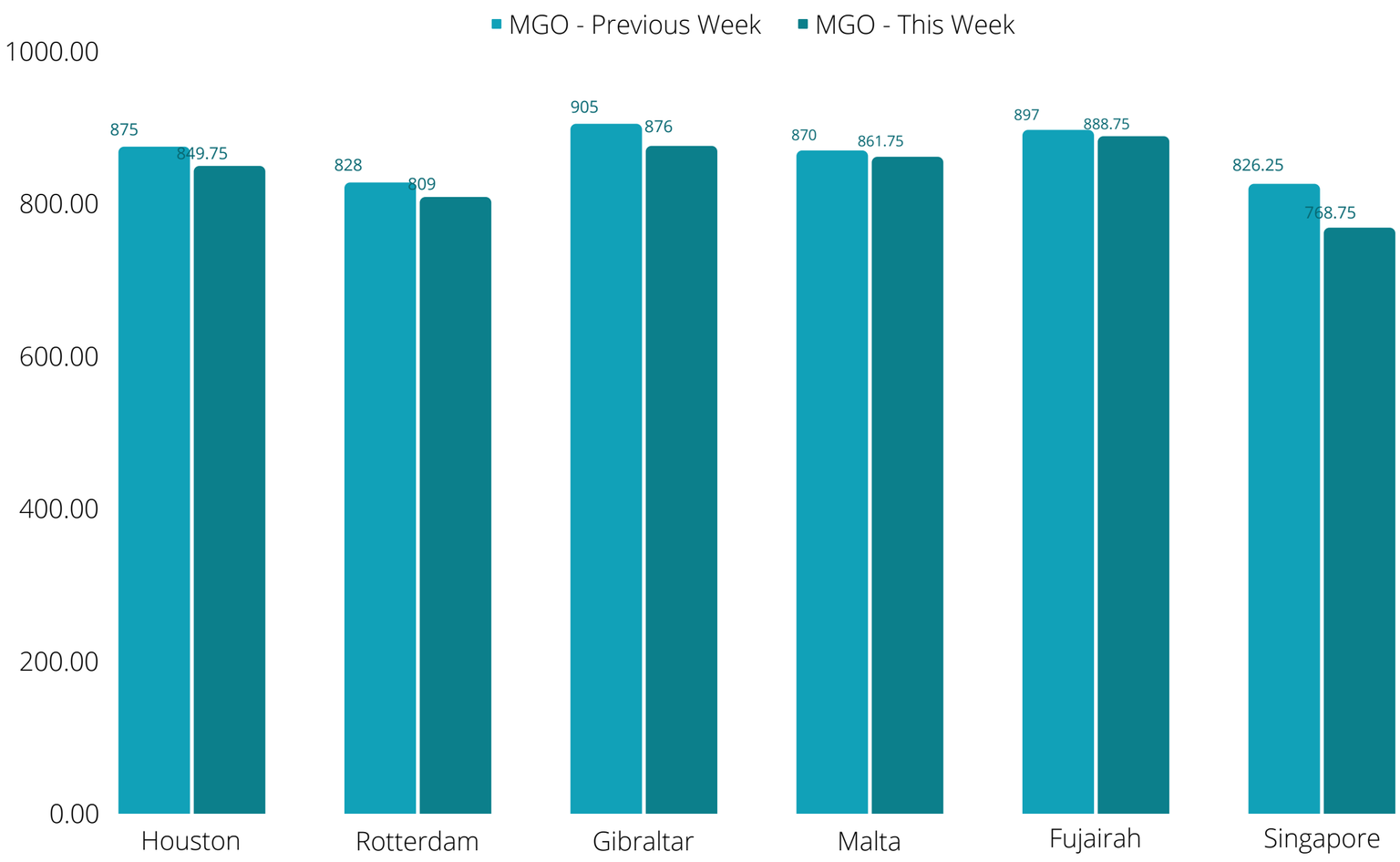


Bunker Prices at Port



Brent Crude

This Week	: 83.22
Previous Week	: 82.10
Movement	: + 1.12

WTI Crude

This Week	: 78.12
Previous Week	: 77.43
Movement	: + 0.69

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
XIN XIANG RUI	BULKER	9032707	1992	JAPAN	5,119	AS - IS	ZHOUSHAN, CHINA	UNDISCLOSED
NAND RAJGADI	GENERAL CARGO	8845494	1991	INDIA	796	DELIVERED	ALANG, INDIA	UNDISCLOSED
SIA	BULKER	9190377	1999	CHINA	12,605	DELIVERED	CHITTAGONG, BANGLADESH	502
MANIS 7	CONTAINER	9165449	1999	TURKIYE	5,468	DELIVERED	CHITTAGONG, BANGLADESH	505
NANHAI SHENG LI	FPSO	7381025	1975	JAPAN	33,151	AS - IS	CHINA	UNDISCLOSED
NANHAI TIAO ZHAN	SEMI SUB	8756629	1975	CANADA	16,327	AS - IS	CHINA	UNDISCLOSED

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